



# **FINANCING YOUR MULTIFAMILY PURCHASE**



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**MULTIFAMILY MASTERY**

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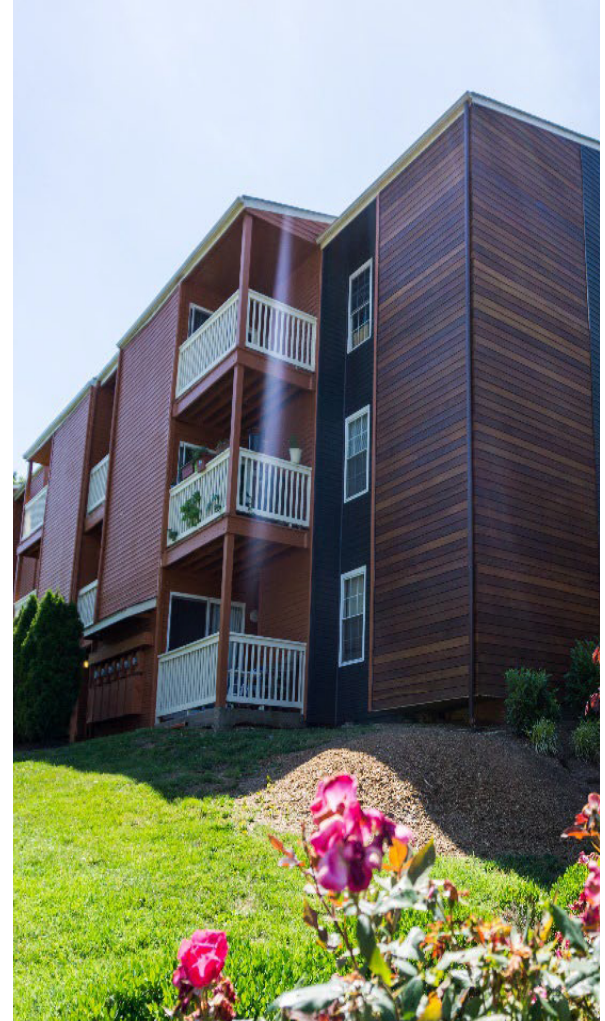
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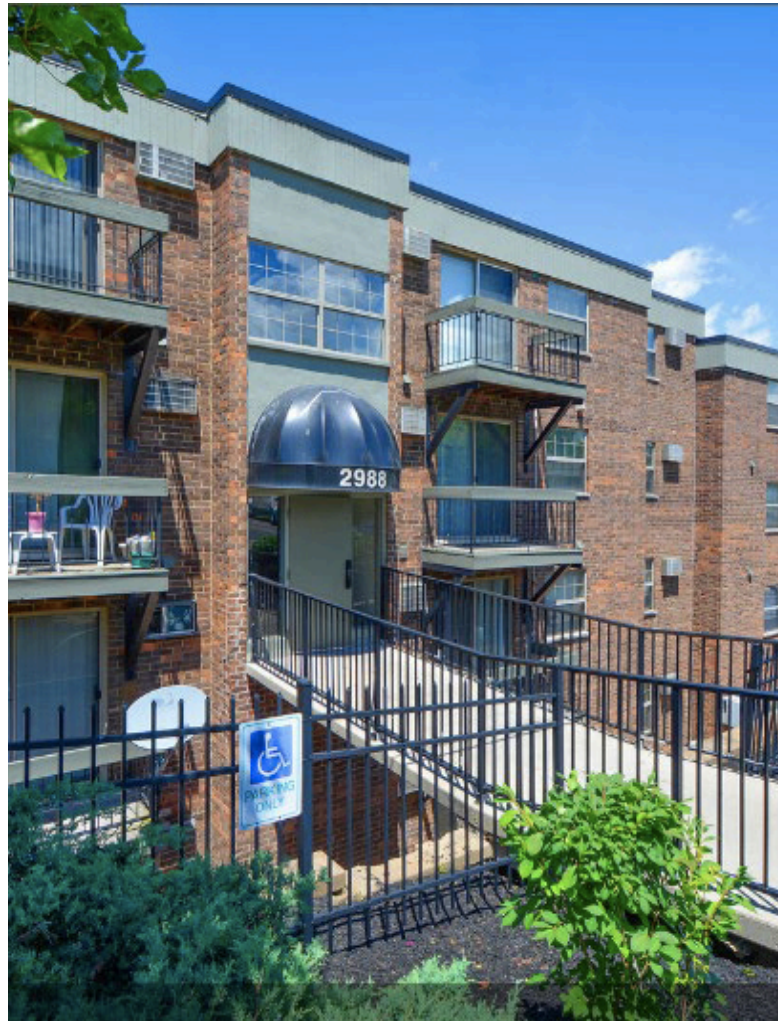
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## Glossary of key terms

Multifamily Real Estate is a specialized topic with technical terms. To assist in the understanding of the subject matter contained in this ebook, a glossary of key terms is below:

**Amortization:** A method used to spread a loan's payments over time. In multifamily lending, it's expressed as the number of years required to reduce the loan balance to \$0, given a defined payment. If the loan term and amortization are different, there will be a balance at the end of the term.

**Cap Rate:** The ratio of a property's Net Operating Income to its value.

**Capital Stack:** The organization of capital used to finance a real estate transaction. It defines who has the rights, and in what order, to the cash flow and profits generated by the property during the holding period and upon sale.

**Contingent Liability:** An indirect obligation of the sponsor/guarantor.

**Credit Officer:** The individual who has the authority to approve or decline a loan.

**Credit Policy:** A written document that defines the terms and conditions under which a lender will extend credit.

**Debt Service:** Required loan payments as calculated under the terms outlined in the loan agreement.

**Debt Service Coverage Ratio:** A ratio of a property's net operating income to the annual loan payments.

**Default:** Failure to repay a loan under the terms and conditions outlined in the loan agreement.

**Guarantor:** An individual who has pledged to be personally responsible for the loan balance in the event of default.

**Interest Rate:** The percentage of a loan's principal balance charged by the lender for the use of it's money.

**Loan Term:** The number of months for which loan payments may be made.

**Loan to Cost:** The percentage of a property's cost that a financial institution is willing to lend. It is calculated as the loan amount divided by the property's cost.

**Loan to Value:** The percentage of a property's value that a financial institution is willing to lend. It is calculated as the loan amount divided by the property's value.

**Loan Underwriter:** An individual who works in a lender's credit department. Their job is to analyze potential loan transactions, document their risks, and make an initial approval/denial recommendation.

**Maximum Supportable Loan Amount:** The maximum amount of money that a lender is willing to lend on a property given the interest rate, term, value, and required debt service coverage ratio.

**Net Operating Income (NOI):** A measure of a property's cash flow. It is calculated as a property's revenue minus operating expenses.

**Non-Recourse Debt:** A type of loan that does not require a personal guarantee.

**Primary Source of Repayment:** The first source of repayment that a lender relies upon to be paid. In a multifamily deal, it's almost always the cash flow generated by the property.

**Recourse Debt:** A loan in which a personal guarantee is required of the loan sponsors.

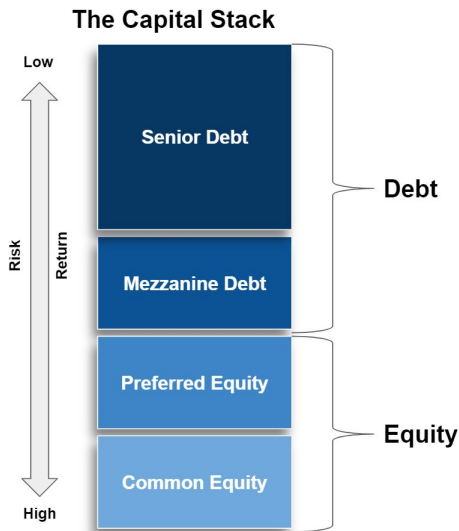
**Relationship Manager:** The lender's sales person. Their primary job is to originate quality loans where the borrower and collateral have an acceptable level of risk to the lender.

**Secondary Source of Repayment:** The second source of repayment that a lender relies upon to be paid. It is triggered when the Primary Source of Repayment fails and, for multifamily deals, it's almost always the liquidation of the collateral securing the loan.

**Senior Debt:** Senior debt is most commonly associated with a bank loan and it is the base or foundation of the capital stack. It usually makes up the largest portion of the financing, often 65% - 75% of the purchase price and the holder is first in line to receive periodic debt service payments.

## Debt and the Capital Stack

For many investors, purchasing a multifamily asset requires assembling a pool of capital. This pool is referred to as the “Capital Stack” and it consists of four components. The legal agreements for each component define who has the rights - and in what order - to the cash flow and profits generated by the underlying asset. Most deals utilize at least two of the four Capital Stack components to obtain the needed financing.



### Senior Debt

Senior Debt is the largest component of the Capital Stack, usually 65% - 75% of the purchase price, and is most commonly associated with a bank loan. It is secured by a first position lien on the property and is considered to be the least risky component of the Capital Stack because the holder is: (1) first in line to receive periodic debt service payments; (2) first in line to be repaid in the event of bankruptcy; and (3) has the ability to initiate the foreclosure/liquidation process in the event of default.

In return for relative safety, the Senior Debt holder earns the lowest interest rate of the Capital Stack components.

### Mezzanine Debt

If there is a “gap” between a property’s maximum supportable loan amount and purchase price that isn’t filled by the equity raise, mezzanine debt may be required.

Mezzanine debt can also be a loan, but it isn’t secured by the property. It is either unsecured or secured by a pledge of ownership interest in the purchasing entity and Mezzanine debt holders are second in line for periodic debt service payments and typically enjoy a slightly higher return to compensate for the elevated risk.

### Preferred Equity

Preferred Equity is an investment in the ownership entity and holders are in third position for repayment in the event of a foreclosure or liquidation. As a result, they require higher returns than debt holders and profit participation upon sale (if available).

### Common Equity

Common Equity holders also have an interest in the ownership entity, but sit behind the Preferred Equity holders in priority. In the event of a foreclosure and the resulting liquidation, the Common Equity holder is the last to be repaid. As such, their position is the riskiest and they require the highest returns.

Because debt makes up the largest component of the capital stack and because there are so many options to obtain it, this book is going to take a deep dive into the programs, processes, approval requirements, and

documentation needed to obtain debt on your next multifamily purchase. We are going to start with Senior Debt.

## Senior Debt

When we think of “getting a loan” for a multifamily asset, it is more likely than not that it is Senior Debt. The availability of and access to Senior Debt is one of the things that make multifamily an attractive investment option. However there are a myriad of lenders and lending programs that can make the process of obtaining senior debt more complicated than it needs to be.

### Multifamily Loan Types

One of the reasons that it can be complicated to obtain Senior Debt is that it is issued under a variety of different programs and through a number of different lenders, each with their own approval criteria and underwriting requirements. Generally, multifamily senior debt originations can be grouped into two categories: Government Sponsored Entities and Private Lenders.

#### Government Sponsored Entities (GSEs)

Government Sponsored Entities are public departments or public/private partnerships whose mission is to increase the availability of financing for residential housing, including multifamily. We want to highlight four GSEs that offer popular multifamily financing programs:

##### *Fannie Mae (FNMA)*

The Federal National Mortgage Association, commonly referred to as “Fannie Mae” is a government sponsored entity that provides multifamily financing through their Delegated Underwriting Services (DUS) program. Fannie Mae offers fixed and variable products nationwide through two lending products:

**Standard DUS Mortgage:** The Standard DUS product is for the purchase or refinance of existing, stabilized properties with 5+ units that have a minimum loan amount of \$5 million.

**Small Loan Program:** The small loans product is for the purchase or refinance of existing stabilized properties with 5-50 units and loan amounts between \$750,000 and \$5 million.

Fannie Mae loans can be obtained through a nationwide network of delegated lenders. Examples of delegated lenders include Sabal Capital or Greystone.

##### *Freddie Mac (FHLMC)*

The Federal Home Loan Mortgage Corporation, commonly referred to as “Freddie Mac,” is also a government sponsored entity that provides multifamily financing focused on affordable properties. These mortgages may be held in a FHLMC portfolio or sold to bond investors. Freddie Mac offers financing under a variety of programs including: Fixed Rate, Floating Rate, Student Housing, Small Balance and Value-Add.

FHLMC loans are available nationwide through approved lenders. An example of an FHLMC lender is Berkadia Commercial Mortgage, LLC.

### *Federal Housing Administration (FHA)*

The Federal Housing Administration (FHA) guarantees loans under the government's Department of Housing and Urban Development. The loans can be used for the purchase, refinance, renovation, or construction of multifamily properties. Under their Multifamily Program, the FHA offers a variety of loan products including: Rental Housing, Manufactured Housing, Cooperative Housing, and Senior Housing.

FHA loans are available nationwide through approved lenders. An example of an FHA lender is Jones Lang LaSalle Multifamily, LLC.

### *USDA Mortgages*

USDA Mortgages are offered through the United States Department of Agriculture in an effort to stimulate rural economies. They are offered on properties located in designated rural areas with populations of less than 50,000 people. USDA loans almost always require the guarantee of the loan sponsor(s) and are originated through multiple products including Rental Housing and Multifamily Housing Preservation and Revitalization. An example of a USDA approved lender is Bank One Community Development Corp.

### *Private Lenders*

Private lenders are the banks, pension funds, life insurance companies, and conduit lenders who originate multifamily debt for the purpose of making a profit. Depending on the specific goals of the lending entity, the loans may be held in the lender's portfolio and serviced by them or sold into the secondary market. Private lenders fall into three categories.

### *Conventional Multifamily Loans*

Conventional loans are originated by private, institutional lenders, but adhere to FNMA approval criteria. The lender may hold the loan in their own portfolio or may sell it into the secondary market.

Conventional loans are available nationwide through multifamily lenders like banks and pension funds. However, they may not all lend nationwide. For example, a regional bank may only lend in the geographic territory where they have a physical presence. In addition, it is likely that conventional loans will require the personal guarantee of the transaction sponsor(s). An example of a conventional lender is Regions Bank.

### *Commercial Mortgage Backed Securities (CMBS)*

A Commercial Mortgage Backed Security, also known as a conduit loan, is originated by a commercial bank, investment bank, or bank syndicate. Once originated, the loans are not held on the lender's balance sheet, they are packaged into securities and sold to investors. CMBS may be a good choice for investors that are unable to meet the strict liquidity and net worth guidelines required by conventional lenders.

CMBS loans are available nationwide. An example of a CMBS lender is Arbor Realty Trust.

### *Commercial Real Estate Insurance Mortgages*

Insurance Mortgages are another type of portfolio loan that is originated by a life insurance company. Historically, Insurance Mortgages offer the best rates and the longest terms, but the qualification requirements are strict. Typically, they are only available to properties in primary and some secondary markets that have low leverage and strong performance. In addition, they must be relatively new, less than 15 years old, in good condition, and class B or higher.

Most major life insurance companies have a multifamily financing arm and they lend nationwide, but because of the stringent requirements, they are usually only limited to the strongest investors. An example of an Insurance lender is AllState Investments.

Because each lender - and lending program - has a different level of risk tolerance, each individual lender - or lending program - may require a different set of approval criteria. When applying for a loan, it is important to be aware of them to maximize the chance for approval.



## Typical Approval Criteria

Loan approval/underwriting criteria varies by lender and can change with market conditions, which adds to the confusion of getting a multifamily loan. The reason for the difference is that each lender has their own level of risk tolerance and preferences for the types of loans they are willing to originate. Despite the differences, the key approval criteria fall into a handful of categories, which are defined below and summarized in the table at the bottom of the page.

**Minimum Loan Amount (“Min. Loan Amt.”):** The smallest allowable loan amount.

**Loan Term (“Term”):** The number of months for which loan payments must be made.

**Amortization (“Amort.”):** A method used to spread a loan’s payments over time. In multifamily lending, it is expressed as the number of years required to reduce the loan balance to \$0, given a defined payment. If the loan term and amortization are different, there will be a balance at the end of the Loan Term.

**Maximum Loan to Value Ratio (“LTV”):** The maximum percentage of a property’s value that a financial institution is willing to lend. The Loan to Value ratio is calculated as the loan amount divided by the property’s value.

**Minimum Debt Service Coverage Ratio (“DSCR”):** The minimum acceptable ratio of a property’s annual net operating income divided by the annual loan payments.

**Recourse:** Indicates whether the loan requires the personal guarantee of the loan sponsor(s). In the event of default and liquidation, the lender would turn to the guarantor(s) to cover the remaining loan balance, if any.



The table below summarizes the typical approval criteria for common loan types.

| Loan Type    | Min. Loan Amt. | Term (Yrs.) | Amort (Yrs.)   | Max LTV | DSCR          | Recourse |
|--------------|----------------|-------------|----------------|---------|---------------|----------|
| FNMA         | \$750,000      | 5 - 30      | Up to 30 Years | 80%     | 1.25x - 1.55x | No       |
| FHLMC        | \$5,000,000    | 5 - 30      | 30 Years       | 80%     | 1.25x - 1.45x | No       |
| FHA          | \$5,000,000    | 30 - 40     | 30 - 40        | 90%     | 1.25x +       | No       |
| USDA         | \$1,000,000    | 5 - 15      | 15 - 30        | 85%     | 1.25x +       | Yes      |
| Conventional | \$1,000,000    | 3-15        | 15 - 30        | 80%     | 1.25x - 1.55x | Yes      |
| CMBS         | \$2,000,000    | 5 - 10      | 20 - 30        | 75%     | 1.25+         | No       |
| Insurance    | \$5,000,000    | 5 - 30      | 15 - 30        | 75%     | 1.25x - 1.35x | Yes/No   |

**NOTE:** Due to the changing nature of market conditions, actual approval criteria may vary and should be confirmed prior to application.

In addition to the above, there are other common approval parameters that should be considered when evaluating multifamily loan options:

**Prepayment Penalty:** Paying off a loan early may carry a penalty, typically calculated as a percentage of the loan balance. It is most common for loans that are sold into the secondary market like the GSE or CMBS programs. In most cases, prepayment penalties comes in one of three forms:

- (1) **Yield Maintenance:** For loans that have been packaged and sold as a bond offering, the goal of the yield maintenance prepayment penalty is to allow bond investors to maintain the same yield they would have earned had all loan payments been made as agreed until maturity. The exact penalty is calculated based on the formula outlined in the loan documentation.
- (2) **Defeasance:** If the prepayment penalty involves defeasance, the loan is not repaid and the note remains in place. Instead it is replaced by other collateral whose cash flows are sufficient to cover all future loan payments. The administrative fees for finding the securities can be significant and should be considered as part of evaluating loan options.
- (3) **Declining or Step Down:** Under the declining, or step down structure, the prepayment penalty declines over a set period of time. For example, there could be a penalty if a loan is repaid within 5 years, but the percentage declines over time. It could be 5,4,3,2,1, where each number represents a percentage of the outstanding loan amount. The specifics of the penalty are defined in the loan documents.

**Interest Only Period:** Certain loan programs allow for an initial period of interest only payments. Depending on the type of property or the project it may make sense to pursue them. For example, if an investor was going to purchase a property and spend 12 months renovating it, a 12 month interest only period would be beneficial to keep payments low during the renovation period.

**Secondary Financing:** Once a property develops some level of equity, which is the difference between the value and the loan balance, some investors may seek to access the equity through a second mortgage. Depending on the loan program, this may or may not be allowed. If this is a part of the investment plan, lenders that allow it should be pursued.

**Capital Reserves:** Multifamily properties, especially older ones, require maintenance and renovation to stay consistent with competitors in the market. To ensure that there is enough money to complete them, some lenders may require the borrower to keep a certain amount of funds in reserve. Money is allocated to the reserves from rental income and may impact overall returns.



## Recourse vs. Non-Recourse



Whether or not a loan has recourse has significant implications for the personal financial liability of the loan sponsors. To illustrate this concept, assume that the borrower defaults on a loan with a \$5M balance. After foreclosing on the property, the lender sells it for \$4.5M and uses the funds to pay down the loan. Responsibility for the remaining \$500k balance is determined by whether or not the borrower provided a personal guarantee. If they did (a recourse loan), the lender will turn to them, personally, for the funds. If they didn't (a non-recourse loan), the lender will absorb the loss.

However, there are several variations of the recourse and non-recourse structures. For example, a non-recourse loan may have an exemption or "carve-out" for negligent or fraudulent behavior. Or, a loan with recourse could be full, partial, or declining. Before agreeing to a guarantee structure with a lender, the specifics should be clarified. There are seven common guarantee types:

**Sole Unlimited Guarantee:** Under this structure, a single loan guarantor is responsible for the entirety of the loan's remaining balance. It is most common with smaller loans that have a one person deal team.

**Joint Unlimited Guarantee :** A joint unlimited guarantee is common with deal teams that have multiple members and it requires that they be jointly responsible for the loan balance. However, there is no distinction as to who's responsible for what amount. If the remaining balance is \$200k and there are 2 guarantors, they have to come up with it between themselves.

**Joint & Several Guarantee:** A Joint and Several guarantee is also used when there are multiple guarantors and it requires that they are both jointly and individually responsible for the remaining loan balance. If one of the guarantors doesn't have enough money to cover their share, the other guarantors are still responsible for the entire remaining balance. It is common for this structure to lead to disagreements, especially if not all guarantors have a similar amount of resources.

**Limited Guarantee:** A Limited Guarantee puts a cap on the guarantee amount. This structure is not used as frequently as the others, but may be incorporated in the largest deals with the strongest borrowers.

**Declining Guarantee:** A Declining Guarantee starts at 100%, but is reduced over time, often based on occupancy or **NOI** milestones. It's most common in construction or renovation deals where there is a lease up period.

**Springing Guarantee:** A Springing Guaranty is the opposite of a Declining Guarantee. Under it, the loan begins as non-recourse, but a guarantee "springs" into place if the property falls below certain occupancy or NOI milestones.

**"Bad Boy" Guarantee:** Also called a "carve out," a loan with a Bad Boy guarantee starts as non-recourse, but becomes full recourse upon proven allegations of fraud or negligence. Many of the GSE loans are non-recourse, but include Bad Boy carve outs.

When evaluating loan options, it is critical that the guarantee structure be thoroughly understood. In a default/liquidations scenario, it can be the difference between significant personal financial liability or none.

## Mezzanine Financing

Mezzanine Debt is a type of loan that is used to fill the gap between a property's maximum supportable loan amount and the equity required in the transaction. For example, if a property is going to be purchased for \$5M, but the cash flows only support a loan amount of \$3.75M and the equity raise brought in \$750k, there is a "gap" of \$500k that must be filled to get the deal done. One of the ways to get it is to obtain mezzanine financing.



Mezzanine financing may be structured as debt or preferred equity, but for the purposes of this document, it is assumed to be debt. It can be either unsecured or secured by an ownership interest in the purchasing entity. Holders of mezzanine debt are in second position in the capital stack, meaning they are "subordinate" to the senior debt holder and don't have the ability to initiate foreclosure. As such, they often need to coordinate with the senior debt holder in a default/liquidations scenario to protect their investment.

### Lenders and Approval Criteria

Mezzanine financing is typically offered by private lenders and their approval criteria can vary widely. The following table provides an example of the general parameters under which mezzanine financing may be considered.

| Parameter            | Criteria                                    |
|----------------------|---------------------------------------------|
| Loan Amount          | \$3 Million and up                          |
| Term                 | Mirrors Senior Debt (typically 5 - 7 years) |
| Interest Rate        | 9% - 16%                                    |
| Origination Fee      | 3% - 6%                                     |
| Maximum Loan to Cost | 85%                                         |
| Payments             | Interest Only                               |

### Pros and Cons of Mezzanine Financing

Mezzanine financing can solve a specific problem and provide the necessary funds to get a deal done. In addition, it can also provide a boost to overall returns because it increases leverage and reduces the amount of capital injected into a deal.

However, mezzanine financing also increases the risk profile of a deal, increases the total cost of capital, and has high origination fees.

### Mezzanine Financing - Other Considerations

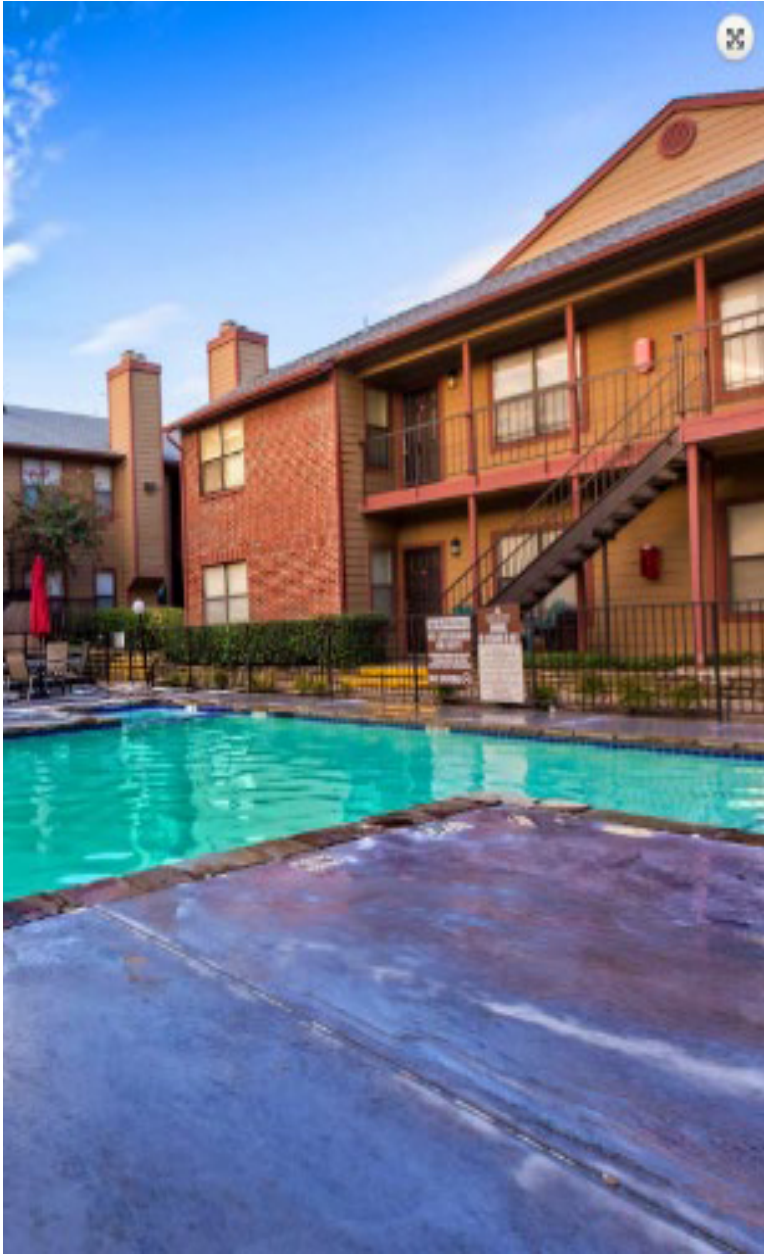
If mezzanine debt is required, there are other considerations that should be evaluated. For example, many senior lenders don't allow it. In general, it is not allowed under HUD programs and in Fannie/Freddie programs it is only allowed with approved lenders under specific guidelines.

If a senior lender *does* allow mezzanine financing, something called an “intercreditor agreement” may be required. It defines the rules between the two lending parties and how/when each of them will get paid.

Finally, some mezzanine lenders may agree to a reduced interest rate on their loan in return for “payment in kind interest.” In this scenario, the interest rate is reduced for the term of the loan and added to the principal balance. This will reduce payments in the short term, but increase total interest expense in the long term.

Obtaining mezzanine financing is an option to obtain the funds needed to get a deal done and it may be repaid through refinance or sale. But, it also increases the risk profile of a deal and should be considered very carefully before obtaining it.

## Getting a Deal Approved



The mechanics, logistics, and paperwork needed to obtain debt on a multifamily property can take a significant amount of time and the process should be started as early as possible to create the smoothest transaction possible.

### The Loan Origination Lifecycle

From application to closing, it can take 30-120 days to close on multifamily financing. The timing is important because there is a seller on the other end who will be waiting to get the deal closed. It is important to keep them informed throughout the process and to quickly notify them of delays. A multifamily loan transaction is completed in five steps:

1. **Application:** During the application phase, the lender is identified, their sales person is contacted, and a formal application is completed. In addition, a documentation “package” is turned over to the lender that contains all of the relevant information about the collateral property and deal team. Typical documents include: Rent Roll, property financial statements, Personal Financial Statements for each member of the deal team, Pro Forma projections, and market research information.

2. **Loan Processing / Initial Screening:** Upon receipt of the deal

documentation, the lender will perform an initial review to determine if it is a deal that they would like to pursue. In many cases, the lender will produce something called a “pre-screen” memo that summarizes the request. It will be reviewed with the credit department and, if approved, a Term Sheet will be issued that outlines the terms and conditions under which the lender would be willing to consider credit.

3. **Underwriting:** If the Term Sheet is agreed to by the Borrower, the request will move into the Underwriting phase where a detailed review of the request is performed by the lender’s “credit” department and a document called a “Credit Memo” is produced. It details all aspects of the

transaction including the borrower, guarantor(s), collateral, and repayment under several different scenarios. The Credit Memo is reviewed by the “Credit Officer” whose job it is to approve or decline the request. Larger deals may require the approval of one or more credit officers.

4. **Document Preparation:** When a request is approved, it is passed to the Loan Operations department to prepare the documentation. In smaller deals, the loan documents may be prepared by the lender. In larger deals, they will likely be prepared by outside counsel. The loans documents are prepared to reflect the approved terms and conditions outlined in the credit memo.
5. **Closing:** Finally, the completed loan documents are transferred to a title company or closing agent so that they can be signed by all relevant parties.

To make the transaction run as smoothly as possible, there are three things that can be done to make the lender’s job easier:

- **Be Prepared:** Combine all required documents into a singular “package” to be presented to the lender at the time of application. Make sure that the package is complete by utilizing the loan documentation checklist contained in the Appendix of this document.
- **Know the Numbers:** The document package should contain a detailed pro forma projection for the property and the numbers should be informed by historical performance. The projections should be realistic and based on comparable properties. The numbers should be known by heart and justified in all discussions with the lender.
- **Communicate Early & Often:** In order to keep all interested parties informed on the progress of the financing, it is important to communicate with them early and often. Sellers, contractors, investors, and partners should be informed along the way because they all have a vested interest in the outcome of the transaction. Likewise, the lender should keep the borrower informed along the way as well.

As a borrower, the more prepared and organized you are, the faster and smoother the loan transaction should be.



## The Five Cs of Credit

The “Five Cs of Credit” is the colloquial term used to describe the transaction attributes reviewed prior to approving a deal. At a minimum, a potential lender will review the following for all requests:

**Character:** Lenders want to know that they are dealing with a reputable borrower of high character. To determine this, they’ll review things like the borrower credit score, reputation, bankruptcy or delinquency history, and prior experience with multifamily properties.

**Capacity:** In order to ensure that they will be repaid, the lender will assess the capacity of the property to produce enough income to make the required loan payments. To complete this effort, they’ll look at the historical performance of the property, future pro forma projections, property value, market comparables to ensure the numbers are reasonable.

**Capital:** To assess the relative safety of their position, the lender will review how much capital is contributed to the deal by the borrower. The primary tool for doing this is to calculate the Loan to Value ratio. Depending on the loan program, the allowable loan to value ratios range from 60%- 90%.

**Conditions:** Property conditions *and* current market conditions are major lender considerations when evaluating a deal. Property condition refers to the physical conditions of the property and all major systems like HVAC, landscaping, roof, electrical, and plumbing. Market conditions refer to rental rates, occupancy, market demand, and the general economic conditions at the time of the request. To approve the deal, the lender will have to be comfortable with the conditions both at the time of the request and over the term of the loan.

**Collateral:** Finally, the property securing the loan is evaluated to ensure that it could be sold for enough to repay the loan balance in a default/liquidation scenario. To make this determination, the lender will evaluate both the tangible and intangible aspects of the property. Tangible aspects include the property layout, finishes, parking, and amenities, and physical condition while. Intangible aspects include things like market competition and management.

To put yourself in the best position to have your loan request approved, evaluate your own request against these dimensions and address them in your plan for the property. In addition, document the plan and include it as part of the package submitted to the lender at the time of application.

## Maximum Supportable Loan Amount

The loan amount that a property can qualify for is directly related to the amount of cash that it produces. During the Initial Screening phase, the lender will quickly “size” a deal by calculating the “Maximum Supportable Loan Amount.” Doing so requires the following inputs:

| Input                       | Where Obtained                             | Example Input |
|-----------------------------|--------------------------------------------|---------------|
| Year 1 Net Operating Income | Pro Forma Projection                       | \$250,000     |
| Cap Rate                    | Market Comparables                         | 8.00%         |
| DSCR Requirement            | Lender Requirements - Use 1.25x if unknown | 1.25x         |
| Maximum LTV                 | Lender Requirements - Use 75% if unknown   | 75.00%        |
| Loan Term                   | Anticipated Term of the Loan               | 60 Months     |
| Loan Amortization           | Anticipated Amortization Period            | 360 Months    |
| Loan Interest Rate          | Estimated Interest Rate                    | 5.50%         |

The Maximum Supportable Loan Amount is calculated under two constraints, the LTV constraint and the Debt Service Coverage constraint. To be conservative, the lender will take the lesser of the two. To illustrate how this works, consider the following example using the inputs from the table above..

### Maximum Supportable Loan Amount Per the LTV Constraint

There are two steps to calculating the Maximum Supportable Loan Amount Per the LTV constraint.

#### Step 1: Calculate Property Value

Property value is calculated using year one Net Operating Income, which is obtained from the property proforma, and the Cap Rate, which is obtained from recent sales of comparable properties. To calculate it, simply divide Net Operating Income by the Cap Rate. Using the example inputs, the equation is:

$$\text{Property Value} = \frac{\$250,000}{8.00\%}$$

The answer is **\$3,125,000**. With the property value known, proceed to step 2.

#### Step 2: Multiply Property Value by the Maximum LTV

In the second step, the property value is multiplied by the maximum allowable LTV percentage. The equation is:

$$\text{Maximum Supportable Loan Amount Per LTV Constraint} = \$3,125,000 \times 75.00\%$$

The answer is **\$2,343,750** and this represents the Maximum Supportable Loan Amount per the LTV constraint. With it, proceed to calculate the Maximum Supportable Loan Amount Per the Debt Service Constraint.

## Maximum Supportable Loan Amount Per The Debt Service Constraint

Calculating the Maximum Supportable Loan Amount Per the Debt Service Constraint is also a two step process, but the logic is slightly more complicated.

### Step 1: Calculate The Maximum Debt Service Amount

Starting with year one Net Operating Income, divide it by the DSCR Requirement. The equation is:

$$\text{Maximum Debt Service Amount} = \frac{\$250,000}{1.25}$$

The answer is **\$200,000** and it represents the maximum possible debt service on a loan where the property's year one cash flow is sufficient to cover the payments with a ratio of 1.25x.

### Step 2: Calculate the Maximum Supportable Loan Amount Per The Debt Service Constraint

Once the maximum debt service is known, the Maximum Supportable Loan Amount Per The Debt Service Constraint can be calculated. The calculation is a little bit tricky and is most easily performed in a spreadsheet using the "Present Value" function. The syntax is:

$$\text{Max. Supp. Loan Amt. Per The DS Constraint} = PV(\text{rate, number of periods, payment amount})$$

Note that the rate, number of periods, and payment should use the same time frame, either months or years. months is usually more precise. Replacing the function variables with the example inputs, the equation is:

$$\text{Max. Supp. Loan Amt. Per The DS Constraint} = PV(5.5\%/12, 360, \$200,000/12)$$

The answer is **\$2,935,363** and it represents the maximum loan amount for which the projected year one cash flow would cover the debt service at 1.25x.

## Maximum Supportable Loan Amount - Summary & Conclusion

Once the value for both constraints is calculated, the lender will take the lesser of the two amounts and use it to guide their negotiations on the acceptable loan amount. In this case, the Maximum Supportable Loan Amount Per The LTV constraint is **\$2,343,750** and the Maximum Supportable Loan Amount Per the Debt Service Constraint is **\$2,935,363**. The lesser of the two results is **\$2,343,750** and it will represent the Maximum Supportable Loan Amount.

As a best practice, it is a good idea to calculate the Maximum Supportable Loan Amount as part of the proforma and use it to guide the loan amount requested from the lender. Consider several scenarios and be able to justify each input. For example, if a smaller cap rate or higher LTV was used in the example above, the gap between the two numbers wouldn't be as large.

See the Appendix for Maximum Supportable Loan Amount template to make the calculation above quick and simple.

## Required Documentation

Documentation is a major part of obtaining a loan and proving to the lender that the deal has an acceptable level of risk.

Yet, all too often, Borrowers do not dedicate enough time to proactively assembling a loan package to minimize the number of document requests from the lender. It is a best practice to provide as much documentation as possible at the time of application.

The following checklist provides a list of the documents that should be included as part of the loan package. Not all documents will be available or applicable at the time of application, but the checklist provides a good guide for what is required.

| Multifamily Loan Request Document Checklist       |                                             |
|---------------------------------------------------|---------------------------------------------|
| Sponsor / Guarantor Documents                     | General Project Information                 |
| Tax Returns - 3 Years, Including All Schedules    | Property Description, Including Address     |
| Personal Financial Statement (One Per Guarantor)  | Market Analysis                             |
| W-2 Statements or Pay Stubs (Prior 30 Days)       | Phase 1 or Phase 2 Environmental Reports    |
| Brokerage Account Statements (12 Months)          | Third Party Appraisal                       |
| Checking / Savings Account Statements (12 Months) | Sale / Purchase Contract                    |
| Credit Report / Authorization to Obtain Credit    | Project Financial Information               |
| Sponsor / Guarantor Biography (One Per Guarantor) | Project Budget                              |
| Sponsor / Guarantor References                    | Operating Statement (3 Years, If Available) |
| Borrowing Entity Documents                        | Pro Forma Projections                       |
| Description / History of Business                 | Tax Bills                                   |
| Tax Returns - 3 Years, Including all Schedules    | Utility Bills                               |
| Financial Statements - 3 Years                    | Rent Roll / Summary of Existing Leases      |
| Interim Financial Statements                      | Copies of Commercial Leases (If Mixed Use)  |
| Articles of Incorporation                         | Existing Loan Statements (If Refinancing)   |
| Partnership Agreement (If Applicable)             | Liability Insurance                         |
| Project Roles and Responsibilities                | Flood Insurance                             |
| Company Organizational Chart                      | Site Plan                                   |
|                                                   | Property Survey                             |

## Getting a Loan - Your To Do List

Now that we are familiar with the different types of multifamily loan programs, their approval criteria and the loan origination/underwriting process, the next thing to do is find a property! Once you've done so, here is your "to do" list for getting a loan:

1. Using the documentation checklist, obtain everything possible from the seller, particularly the property rent roll and operating statements.
2. Using the property financials and market knowledge, create your own pro forma projection. Use reasonable assumptions and document them with market based evidence.
3. Create a high level business plan that includes information about the property (size, # Units, Location, etc), what you plan to do with it once acquired, and the planned holding period.
4. Created a targeted list of lenders that may be interested in the deal. In general, smaller deals are a better fit for local banks and larger deals are a good fit for higher volume lenders. Identify a point of contact for each lender.
5. Combine the pro forma, business plan, and all other required documentation in a "package."
6. Present the package to the target lenders. The earlier this is done in the transaction the better. Be honest with them about required timelines.
7. Follow up with each lender until they have either declined the deal or issued a Term Sheet.
8. If multiple Term Sheets are received, create a matrix to compare them. The lowest rate isn't always the best deal. There are other considerations such as term, prepayment penalties, fees, and guarantee structure.
9. Choose a lender and reiterate the necessary timelines. Keep the seller informed of progress.
10. Respond to any additional documentation requests swiftly. This is the number one reason for delays.
11. Once approved, review loan documents very carefully. In some cases, it may make sense to hire your own attorney to review them.
12. Close the deal and celebrate your acquisition.

Getting a loan approved and closed is almost always a mad dash to the finish line. Avoid the stress and the hassle by insisting the seller provide all necessary documentation up front and include this documentation in the package presented to the lender.

## Helpful Links

[Fannie Mae Multifamily Finance](#)

[Top FNMA DUS Lenders](#)

[Freddie Mac Multifamily](#)

[FHA Multifamily](#)

[USDA Multifamily](#)

## Appendix

1. [Multifamily Loan Documentation Checklist](#)
2. [Personal Financial Statement Template](#)
3. [Maximum Supportable Loan Amount Template](#)

|                                               |  |
|-----------------------------------------------|--|
| <b>Project Name:</b>                          |  |
| <b>Borrower Name:</b>                         |  |
| <b>Loan Sponsor(s):</b>                       |  |
| <b>Description of Project / Use of Funds:</b> |  |

### Sponsor / Guarantor Information

| Description                                            | Enclosed                 | Not Available            | Not Applicable           | Notes / Comments |
|--------------------------------------------------------|--------------------------|--------------------------|--------------------------|------------------|
| Tax Returns (2 Years - All Schedules)                  | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Personal Financial Statement (See Rod Khleif Template) | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Pay Stubs (Prior 30 Days)                              | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Brokerage Account Statements (Prior 12 Months)         | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Checking / Savings Account Statements (12 Months)      | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Sponsor / Guarantor Biography                          | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Sponsor / Guarantor References                         | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |

### Borrower Information

| Description                                              | Enclosed                 | Not Available            | Not Applicable           | Notes / Comments |
|----------------------------------------------------------|--------------------------|--------------------------|--------------------------|------------------|
| Business Description                                     | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Tax Returns (2 Years - All Schedules)                    | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Financial Statements (2 - Years Company or CPA Prepared) | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Interim Financial Statements (Company or CPA Prepared)   | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Articles of Incorporation                                | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Partnership Agreement (If applicable)                    | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Company Organizational Chart                             | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |

### Property Information

| General                                                | Enclosed                 | Not Available            | Not Applicable           | Notes / Comments |
|--------------------------------------------------------|--------------------------|--------------------------|--------------------------|------------------|
| Property Description, Including Address                | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Market Analysis                                        | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Phase 1 / Phase 2 Environmental Reports (If Available) | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Appraisal                                              | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Sale / Purchase Contract                               | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Financial                                              | Enclosed                 | Not Available            | Not Applicable           | Notes / Comments |
| Property Budget                                        | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Operating Statements (2 Years)                         | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Proforma Projections (For entire holding period)       | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Property Tax Bills (2 Years)                           | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Utility Bills (1 Year)                                 | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Rent Roll / Summary of Existing Leases                 | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Copies of Commercial Leases                            | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Existing Loan Statements (If Refinancing)              | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Project                                                | Enclosed                 | Not Available            | Not Applicable           | Notes / Comments |
| Proof of Liability Insurance                           | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Proof of Flood Insurance                               | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Site Plan                                              | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Property Survey                                        | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Summary of Qualifications for Management Company       | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |
| Photos of property                                     | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |                  |

#### Color Key

No Input Available

Note/Instructions

Input Required

Current As Of:

#### Sponsor / Guarantor Information

| Sponsor / Guarantor 1                |  | Sponsor / Guarantor 2                |  |
|--------------------------------------|--|--------------------------------------|--|
| Full Name (First, Middle, Last):     |  | Full Name (First, Middle, Last):     |  |
| Street Address:                      |  | Street Address:                      |  |
| City / State / Zip Code:             |  | City / State / Zip Code:             |  |
| County:                              |  | County:                              |  |
| How Long At This Address?:           |  | How Long At This Address?:           |  |
| Rent / Own ?:                        |  | Rent / Own ?:                        |  |
| Rent / Mortgage Payment (Per Month): |  | Rent / Mortgage Payment (Per Month): |  |
| Drivers License #:                   |  | Drivers License #:                   |  |
| Issuing State:                       |  | Issuing State:                       |  |
| Issue Date:                          |  | Issue Date:                          |  |
| Expiration Date:                     |  | Expiration Date:                     |  |
| Date of Birth:                       |  | Date of Birth:                       |  |
| Phone Number:                        |  | Phone Number:                        |  |
| Email Address:                       |  | Email Address:                       |  |
| Employment:                          |  | Employment:                          |  |
| Employer Name:                       |  | Employer Name:                       |  |
| Employer Address:                    |  | Employer Address:                    |  |
| Position Description / Job Title:    |  | Position Description / Job Title:    |  |
| How Many Years at this Job?          |  | How Many Years at this Job?          |  |

#### Assets / Liabilities

| Assets                                     |      | Liabilities                                             |      |
|--------------------------------------------|------|---------------------------------------------------------|------|
| 1. Cash In Banks:                          |      | 12. Loan Against Securities:                            |      |
| 2. Securities Owned:                       |      | 13. Loans Against Insurance Policy:                     |      |
| 3. Cash Value Life Insurance:              |      | 14. Loans Against Retirement Accounts:                  |      |
| 4. Retirement Accounts - Vested Balance:   |      | 15. Loans Against Primary Residence:                    |      |
| 5. Notes and Receivables:                  |      | 16. Loans Against Secondary Residence / Vacation Homes: |      |
| 6. Primary Residence:                      |      | 17. Loans Against Other Real Estate:                    |      |
| 7. Secondary Residence / Vacation Homes:   |      | 18. Credit Cards Payable:                               |      |
| 8. Other Real Estate Owned:                |      | 19. Loans Payable:                                      |      |
| 9. Real Estate Investments & Partnerships: |      |                                                         |      |
| 10. Businesses Owned:                      |      |                                                         |      |
| 11. Personal Property:                     |      |                                                         |      |
|                                            |      |                                                         |      |
|                                            |      |                                                         |      |
| <b>Total Assets:</b>                       | \$ - | <b>Total Liabilities:</b>                               | \$ - |
|                                            |      | <b>Net Worth:</b>                                       | \$ - |
|                                            |      |                                                         |      |
|                                            |      | <b>Contingent Liabilities:</b>                          |      |

#### Income / Expenses

| Annual Income                      |      | Annual Expenses                           |      |
|------------------------------------|------|-------------------------------------------|------|
| Salary (Applicant):                |      | Federal Income Taxes:                     |      |
| Salary (Co-Applicants):            |      | State Income Taxes (If Applicable):       |      |
| Bonus & Commission (Applicant):    |      | City Income Taxes (If Applicable):        |      |
| Bonus & Commission (Co-Applicant): |      | Mortgage / Rental Payment:                |      |
|                                    |      | Condo/Co-op Association Fees:             |      |
| Rental Income:                     |      | Property Taxes (Primary Residence)        |      |
| Interest Income:                   |      | Property Taxes (Secondary/Vacation Home): |      |
| Dividend Income:                   |      | Insurance:                                |      |
| Capital Gains:                     |      | Alimony / Child Support:                  |      |
| Partnership Income:                |      | Tuition:                                  |      |
| Other Investment Income:           |      | Living Expenses (Food, Travel, Etc.):     |      |
| Other Income:                      |      | Medical Expenses:                         |      |
|                                    |      | Other Expenses (Specify):                 |      |
| <b>Total Income:</b>               | \$ - | <b>Total Expense:</b>                     | \$ - |
|                                    |      |                                           |      |
|                                    |      | <b>Net Annual Cash Flow:</b>              | \$ - |

#### Other Information

|                                                                                                                   |  |
|-------------------------------------------------------------------------------------------------------------------|--|
| 1. Have you, or any firm you've been involved with ever declared bankruptcy or had a judgement filed against you? |  |
| 2. Are there any additional assets pledged, other than the ones shown?                                            |  |
| 3. Have you created a Will?                                                                                       |  |
| 4. Are any years of your tax returns being contested or audited?                                                  |  |
| 5. Do you have any outstanding Letters of Credit?                                                                 |  |
| 6. Do you have any past due tax obligations?                                                                      |  |

If you answered "Yes" to any of the above questions, provide details below:

|  |
|--|
|  |
|--|



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## Maximum Supportable Loan Amount Calculator

| Inputs             |              |
|--------------------|--------------|
| Year 1 NOI:        | \$100,000.00 |
| Cap Rate:          | 10.00%       |
| Interest Rate      | 6.00%        |
| DSCR Requirement : | 1.25         |
| Maximum LTV:       | 80.00%       |
| Term (In Months):  | 360.00       |

| Color Key |                     |
|-----------|---------------------|
|           | Available for Input |
|           | No Input Available  |
|           | Calculated output   |

| Outputs                              |             |
|--------------------------------------|-------------|
| Value @ Cap Rate:                    | \$1,000,000 |
| Max. Supportable Loan Amt. per LTV:  | \$800,000   |
| Allowable Debt Service:              | \$80,000    |
| Max. Supportable Loan Amt. per DSCR: | \$1,101,186 |
|                                      |             |
| Maximum Supportable Loan Amount:     | \$800,000   |